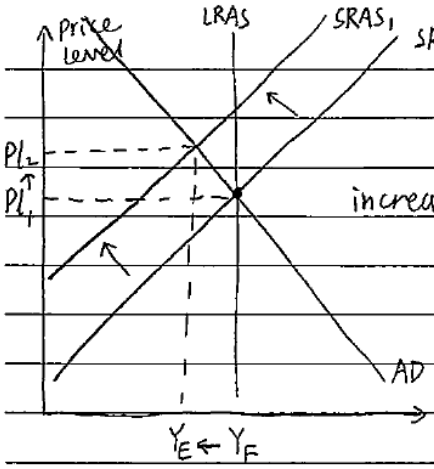
[redacted] ~~a) Governments intervene in markets to support firms and~~

3

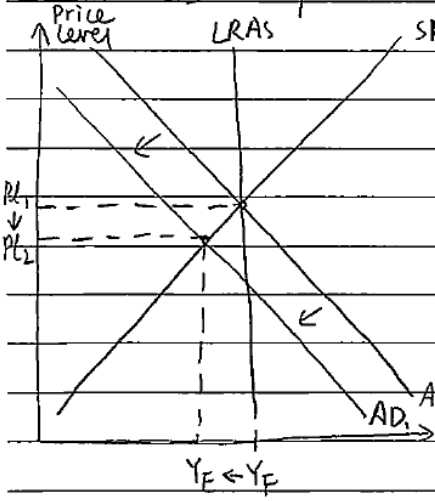
a) Political and social factors can act as barriers to economic growth and economic development. Firstly, political factors such as war and unrest significantly deter economic growth and development. War causes a destruction of habitat such as [redacted] polluting soil and water, along with any infrastructure built along it which would require government expenditure to repair, leaving less government revenue for economic growth. War severely affects living standards such as access to proper sanitation, clean water and food to citizens, leading to a decrease in productivity. Workers may choose to emigrate to escape conflict. Without proper infrastructure and labour to produce goods, the country's short term aggregate supply decreases, as seen in the diagram:

(SRAS)




The SRAS curve shifts leftwards to $SRAS_1$, leading to a decrease in real GDP from $Y_F$ to $Y_E$, an increase in price level of goods from $PL_1$ to $PL_2$, creating a recessionary gap where the long-run aggregate supply (LRAS) is higher than the current aggregate supply. Real GDP is directly affected which is a measure for economic growth and the daily life of consumers and producers are negatively impacted.

Social factors such as crime or violence affect the government's ability to provide support to the unemployed by consuming government revenue, creating an opportunity cost of policies that create job opportunities. Crime and violence also decrease living standards, with some choosing to emigrate because of increasing risk of personal safety. Aggregate demand (AD) decreases as there are less consumers to spend.




The AD curve shifts leftwards to $AD_1$, decreasing real GDP from $Y_F$ to $Y_E$ and the price level from $PL_1$ to $PL_2$. A recessionary gap is formed. Crime and violence decreases living standards and consumes government resources for those choosing to tackle it instead of creating job opportunities.

3 b) Economics barriers such as import quotas or tariffs are imposed by other countries to protect domestic firms or to deter certain political actions initiated by other countries. The Russian invasion of Ukraine was initiated by Russian president Vladmir Putin in late February 2022. As a stance against war and violence, member countries of NATO imposed economic sanctions on Russia, limiting imports of goods to Russia to starve its economy. Because of halted foreign investment to Russian firms and the barricade of the factor of production of land in Russia, there is a sharp decrease of aggregate supply where firms are forced to lay off workers and close businesses, illustrated by the first diagram in 3a). From the diagram in 3a), there is a decrease in real GDP from $Y_F$ to $Y_E$, negatively impacting Russia's economic growth. With the closure of many businesses, there is a rise of demand for necessities causing demand-pull inflation, illustrated by the increase in price level from $PL_1$ to $PL_2$. This causes a larger wealth disparity gap as the poor can no longer afford necessities.

The life expectancy of Russian males will be heavily impacted by the war, along with a decrease in the quality of healthcare. Social and political conflict increasingly arise, with protests by Russian citizens to end the invasion and many leaving the country to escape conflict. With increasing government expenditure on military supplies, there is less focus on technological development. The government may face heavy budget deficit following the war, leading to recession which may further increase

unemployment.

In the case of the Russian invasion of Ukraine, economic sanctions on Russia are effective in slowing Russia's economic growth and development. The effects of the sanctions are well felt by stakeholders such as Russian citizens. Increasing government expenditure has slowed the attack on Ukraine. The sanctions are crippling the Russian economy which will stop the Russian forces in their invasion.